OZON

3Q 23

Financial analysis

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1.Executive Summary

Ozon continues to demonstrate strong operating results across all metrics. Over the year, the number of orders on the platform more than doubled, fueled by customer base expansion and rising order frequency. Moreover, the company succeeded in creating two additional sources of income, advertising and banking, which are expected to contribute greatly in the future.

Despite the strong operating results, Ozon is still struggling to break even. The main reason lies in their aggressive expansion strategy, which prioritizes increasing Ozon's market share over profits. According to this strategy, the company might be anticipated to stay unprofitable for another decade. Considering the recent spikes in the key interest rate, it causes investors to worry about potential insolvency issues, though there are no signs of them as of now.

Comparative analysis shows that Ozon is the worst company in the IT sector by almost all metrics, which means that investing in them right now might be a bad idea. However, Ozon has the potential to scale up its business and, at some point, become profitable by either raising commissions on the platform or improving its unit economics. Of course, it is extremely difficult to predict when or how profitable the company will be. For this reason, the revenue forecast was used to estimate the potential of Ozon stock. This forecast suggests that the company's share price can grow by 50%, up to RUB 4200, in the next two years. Nevertheless, the risk of running out of cash still persists.

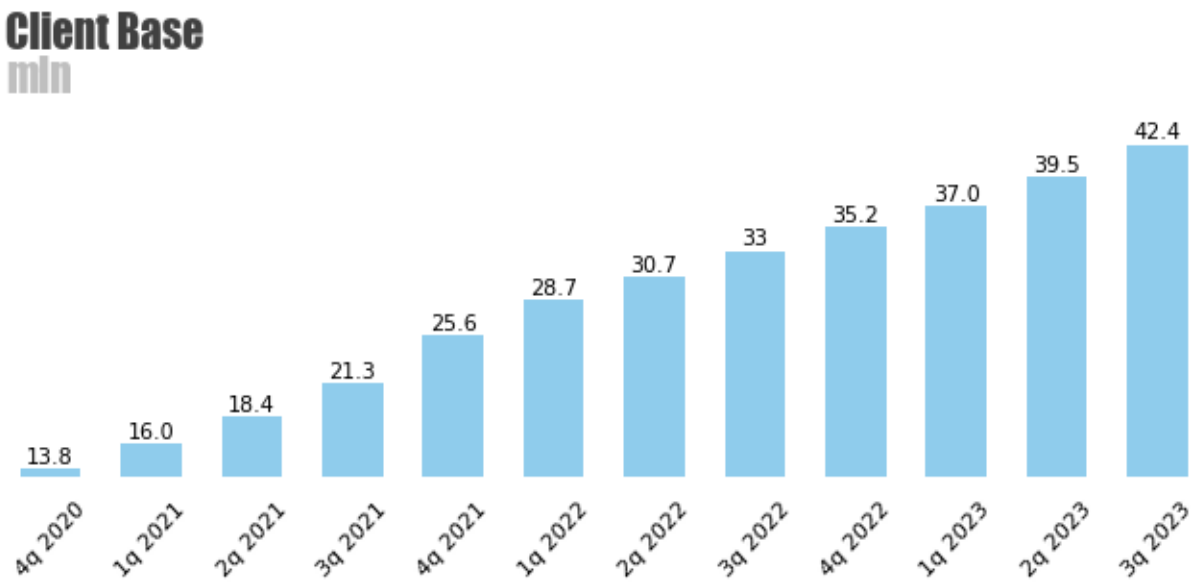
2.Operating Analysis

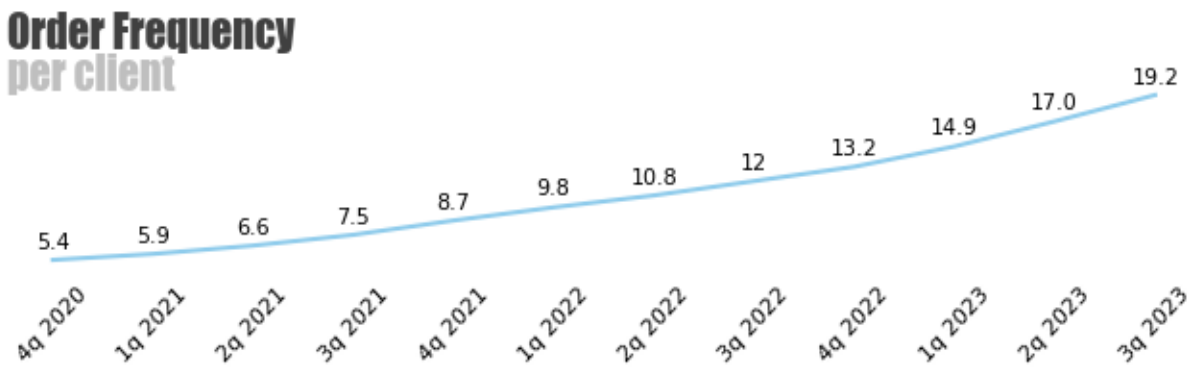
This section illustrates Ozon's operating results, elaborates on their cause, and briefly touches on the possibility of insolvency.

2.1 Client Base

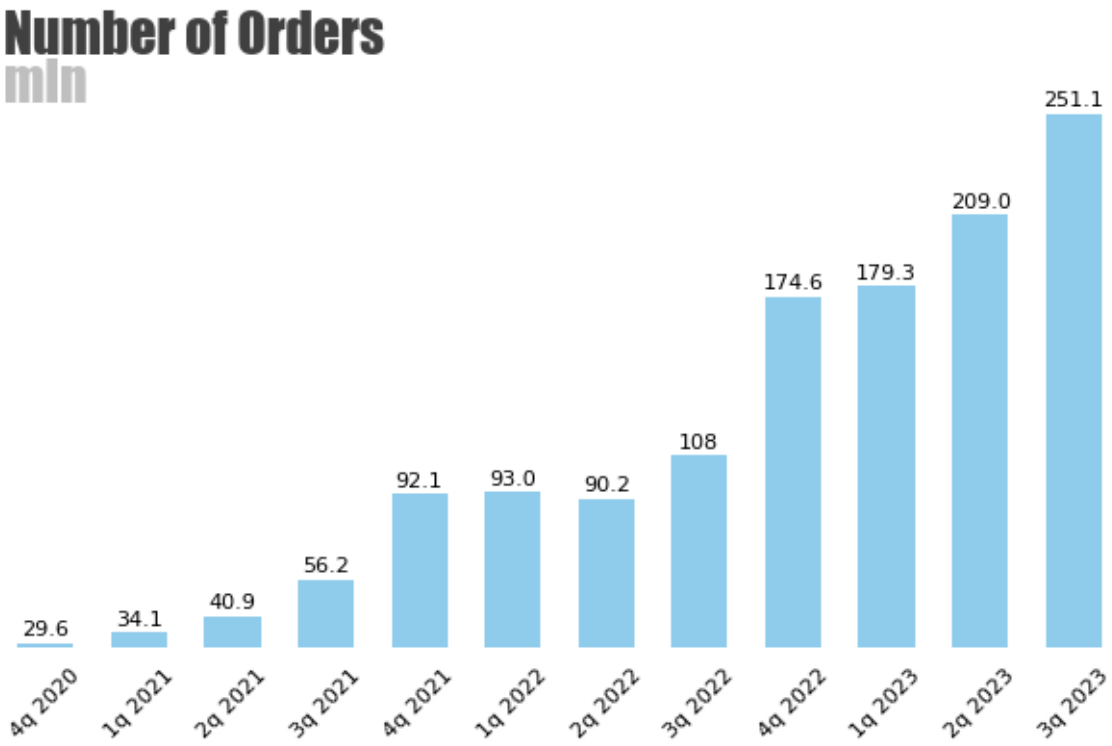
The client base grew by 28.5% year-on-year to 42.4 million people, driven by investments in marketing campaigns and the expansion of the product line on the platform.

The average number of orders rose by 60% year-on-year to 19.2, driven by diversification of the product range and Ozon's growing food retail. The last segment demonstrates especially good synergy with the main retail business. It makes customers buy more fast-moving goods, which in turn increases their overall engagement with the platform.



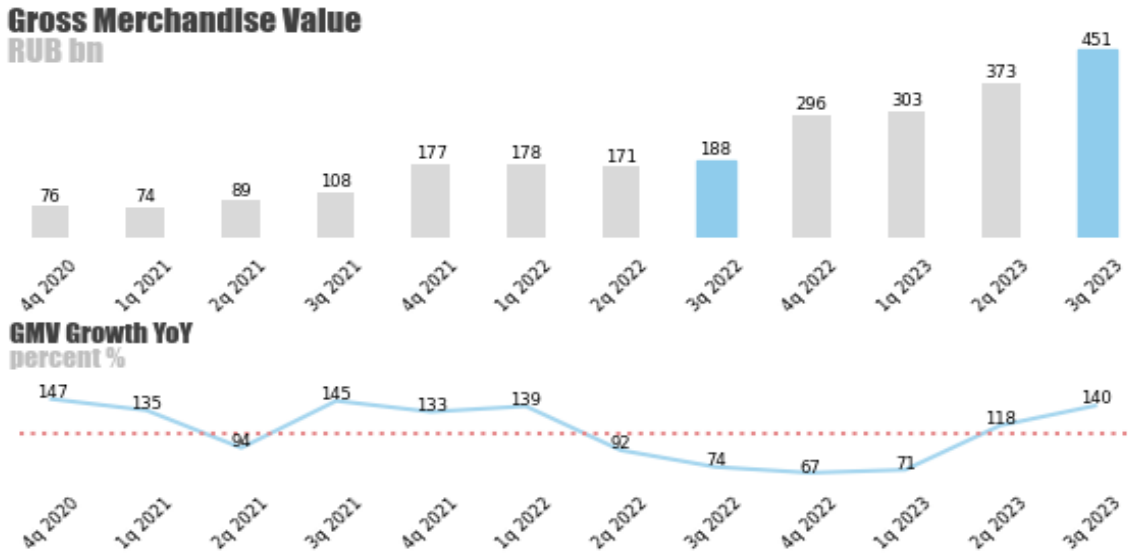


The two aforementioned factors combined led to a 2.3-fold increase in the number of orders, bringing it to 251.1 million. This dynamic is expected to slow down next year due to high interest rates and accelerating inflation.

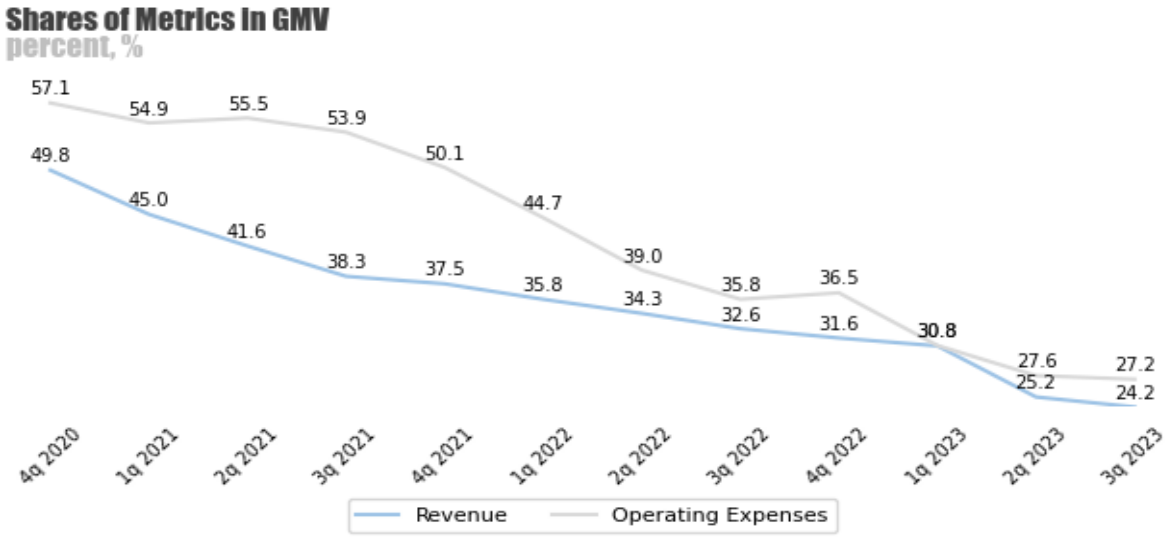


2.2 Gross Merchandise Value

As a result of the customer base expansion and growing order frequency, gross merchandise value rose by 140% year-on-year to RUB 451 billion. The GMV growth rate is above the historical average for the second quarter in a row, which is impressive considering the adverse economic conditions the company is currently in.



Unfortunately, due to large investments in the logistic infrastructure, the gap between revenue and operating expenses widened again. It made investors worry about the likely insolvency of the company, though the situation seems to be under control and is expected to improve in the next two quarters.

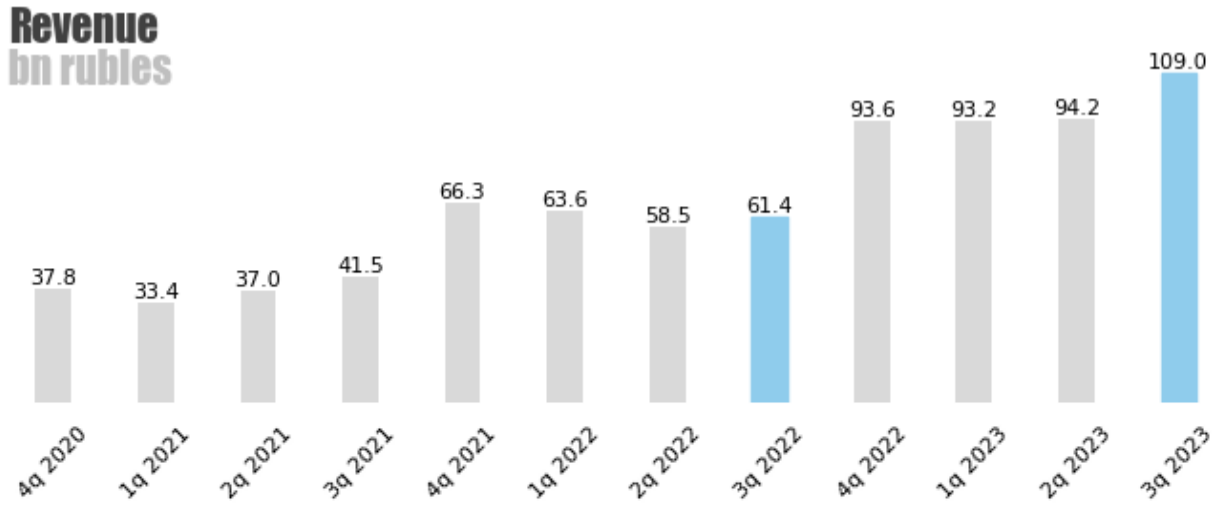


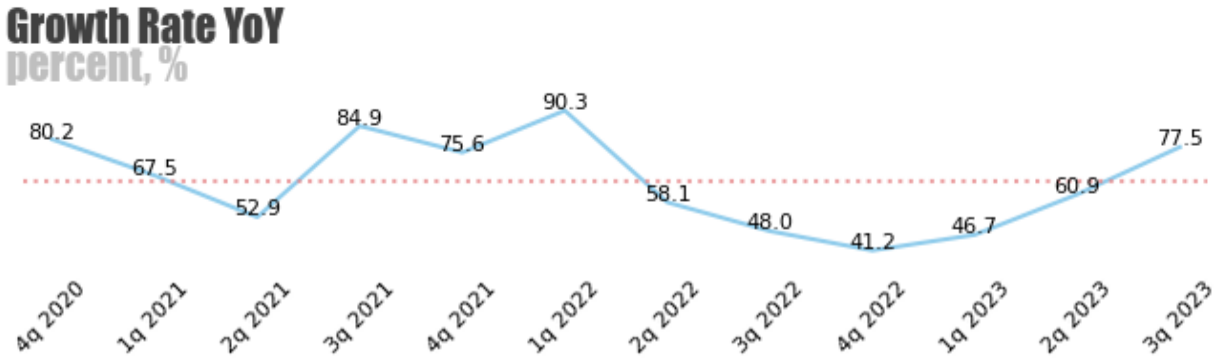
3 Financial Analysis

This section analyzes the company's financial performance and dives deeper into the reasons for unprofitability and cash problems.

3.1 Revenue

Revenue grew by 77.5% year-on-year to RUB 109 million, exceeding its historical average growth rate of 65.3%.

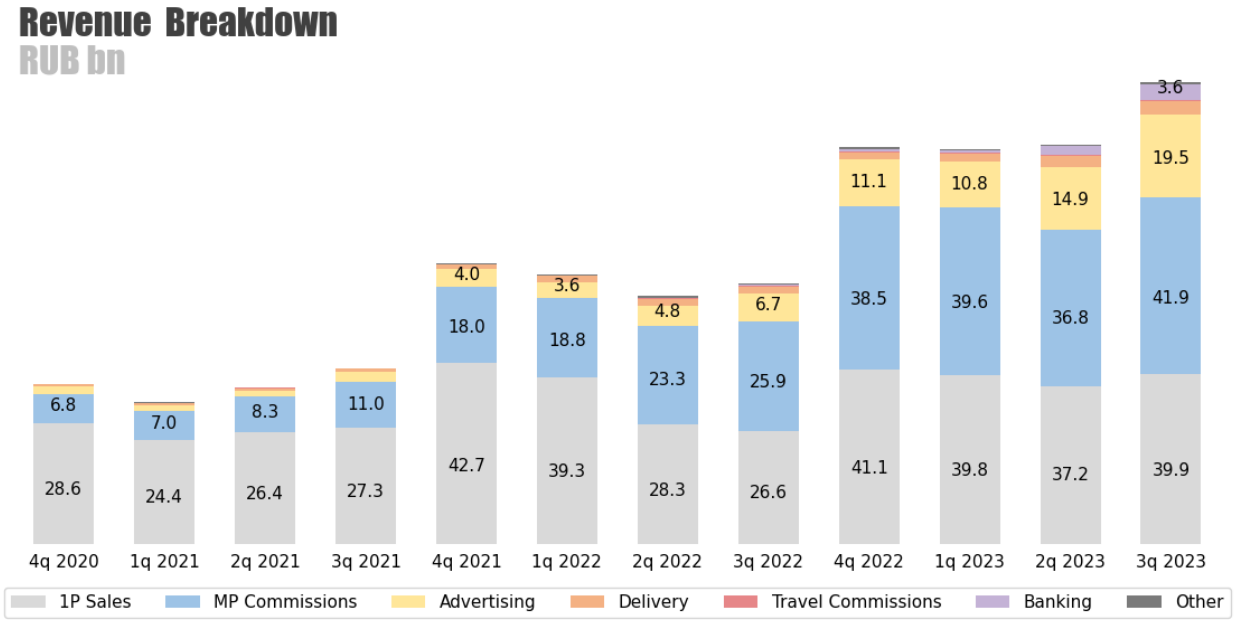




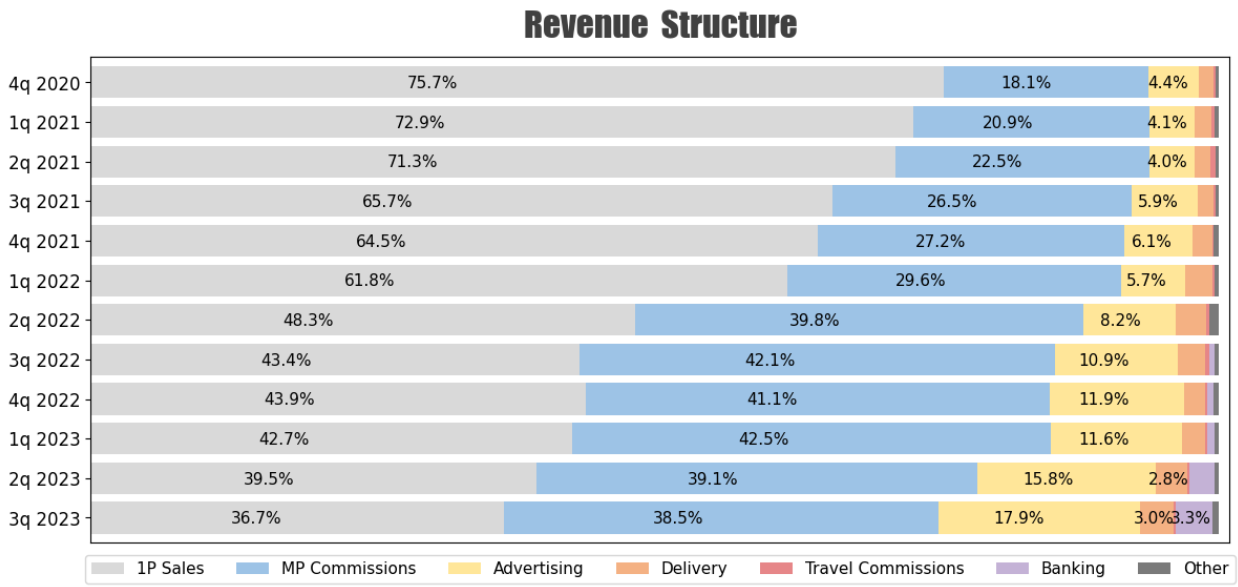
Key revenue drivers were as follows:

- Marketplace commissions, up 62% YoY, to RUB 41.9 billion
- Sales, up 50% year-on-year, to RUB 39.9 billion
- Ad revenue, up 2.9 times, to RUB 19.5 billion.

The impact of advertising revenue was especially notable this quarter. Though its overall contribution is not as big as from sales or commission, it is growing at an extremely fast pace. Over the year, the advertising revenue almost tripled from RUB 6.7 to RUB 19.5 billion. Financial services also seem to be on the rise.

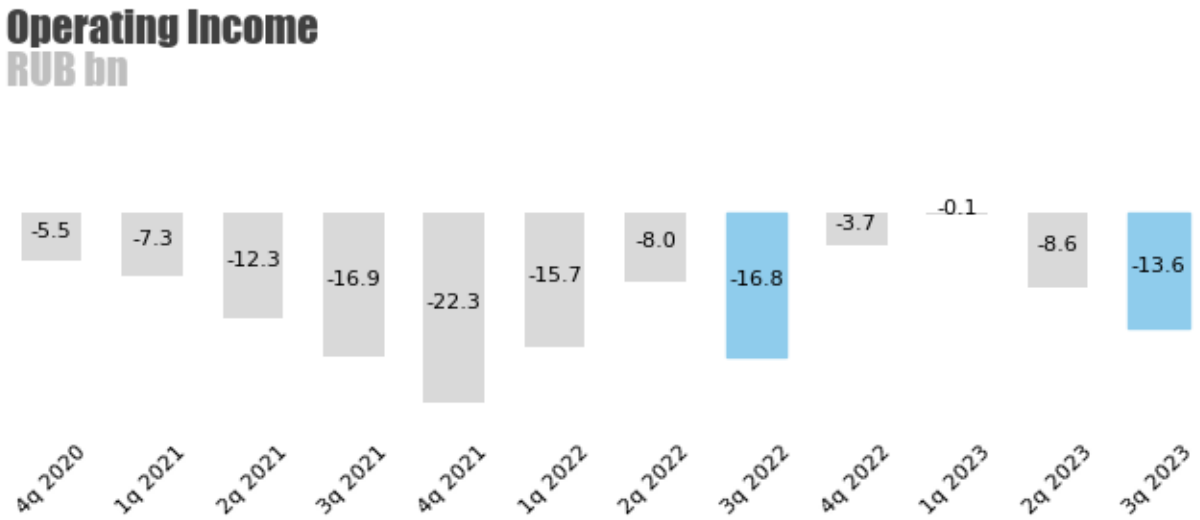


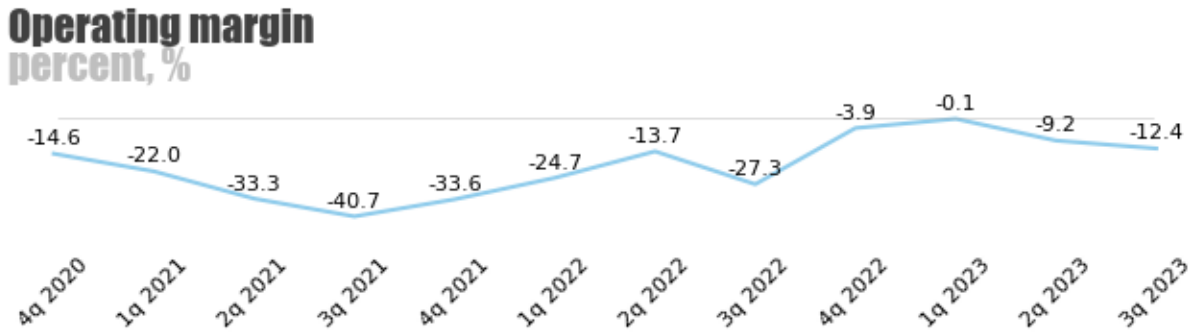
This dynamic is better seen in the structure graph below. First, market commissions were squeezing sales; now it is advertising. Banking services also look promising. The revenue from them showed a 13.6-fold increase compared to what it was a year ago, to RUB 3.6 billion. Its current share stays at 3.3% and is projected to continue growing quickly.



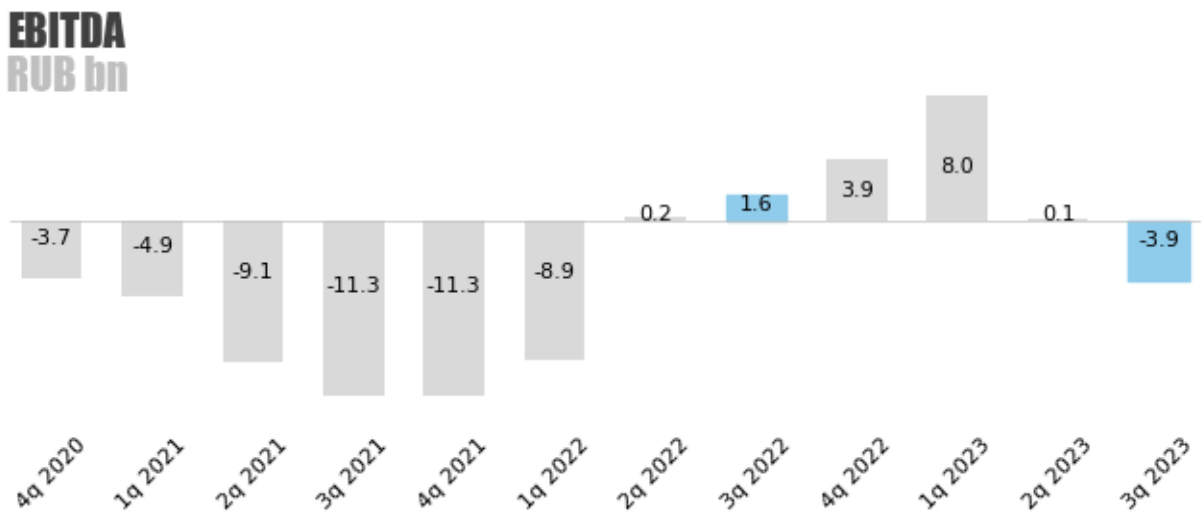
3.2 Growing costs

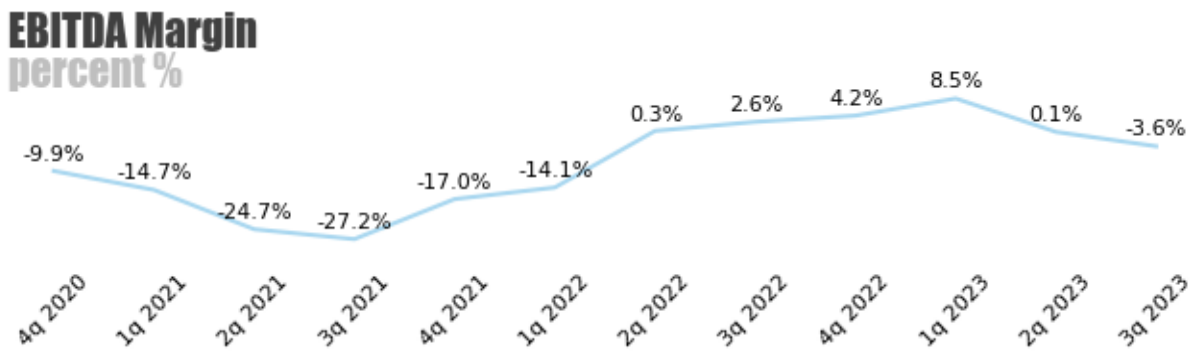
Despite the outstanding revenue growth, on an operating level, the company is still struggling to make a profit. Operating income dived to negative RUB 13.6 billion, and operating margin decreased to negative 12.4%.





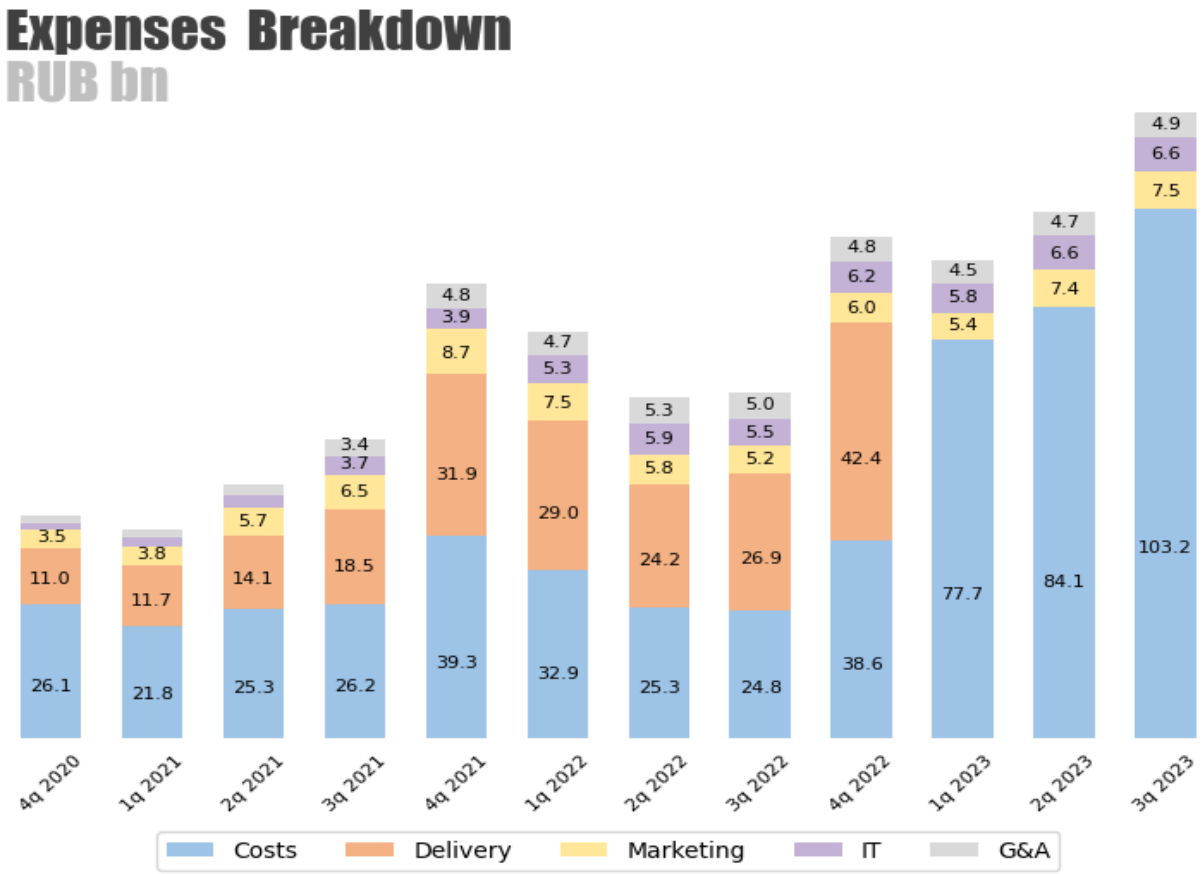
The same situation is in EBITDA; It fell below zero, showing a loss after five consecutive quarters of profitability.



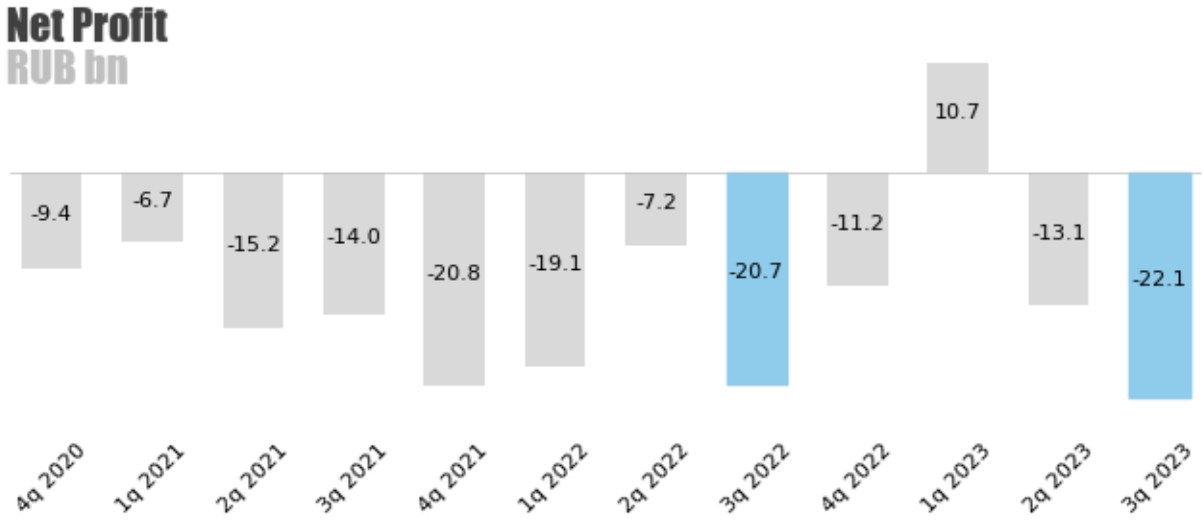


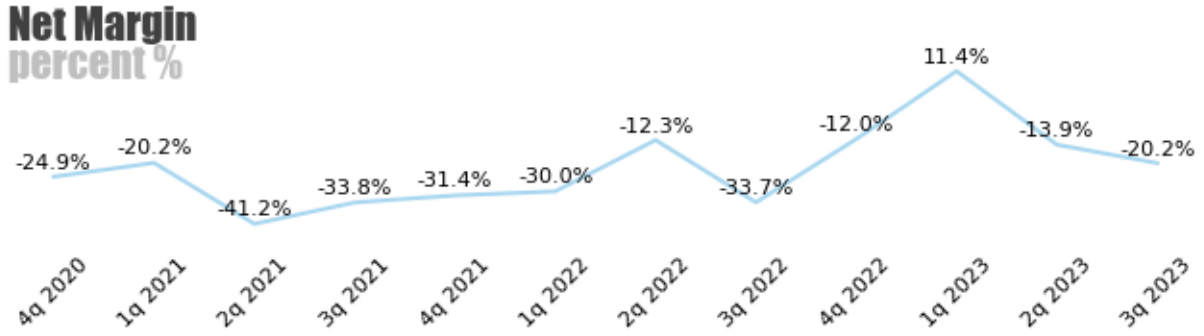
Ozon's management states that the main reason for this negative dynamic lies in investments in their logistic infrastructure. The proof of their words can be seen in the sudden change in costs, which jumped 22.7% quarter-on-quarter to RUB 103.2 billion.

Usually, it takes around six months for new logistic centers to start making a profit; therefore, it is reasonable to expect operating margins to remain negative for at least another two quarters.



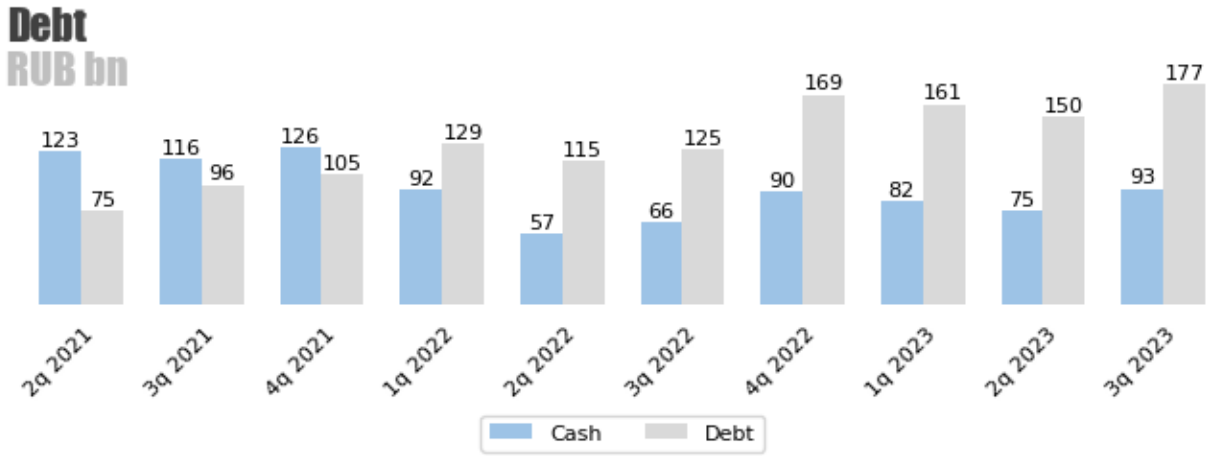
Net profit plunged even more. The third quarter value was negative RUB 22.1 billion, down 6.8% year-on-year, mainly due to the lower EBITDA and an increase in financial costs driven by higher interest rates. Despite the record loss, the net margin is still higher compared to what it was a year ago: -20.2% versus -33.7%.

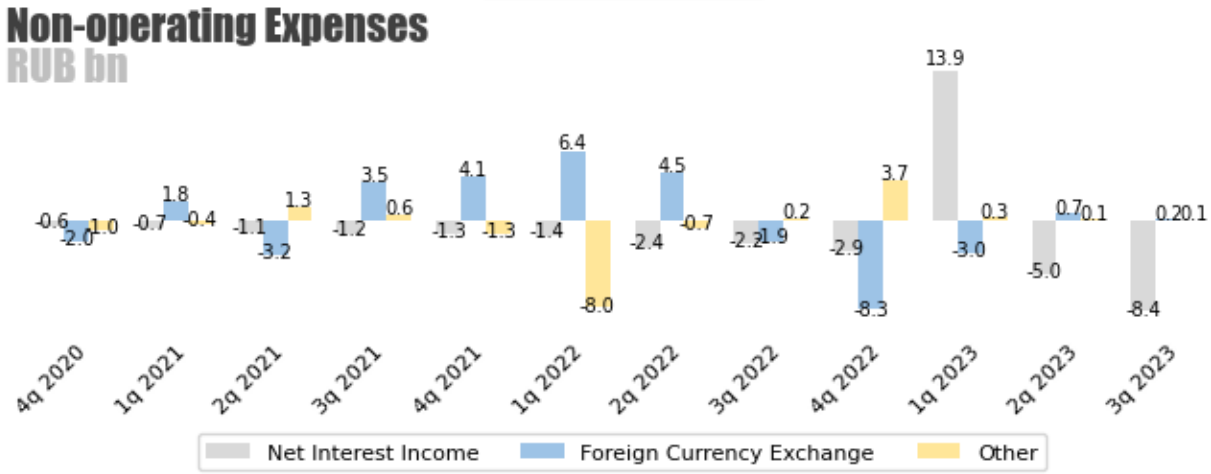




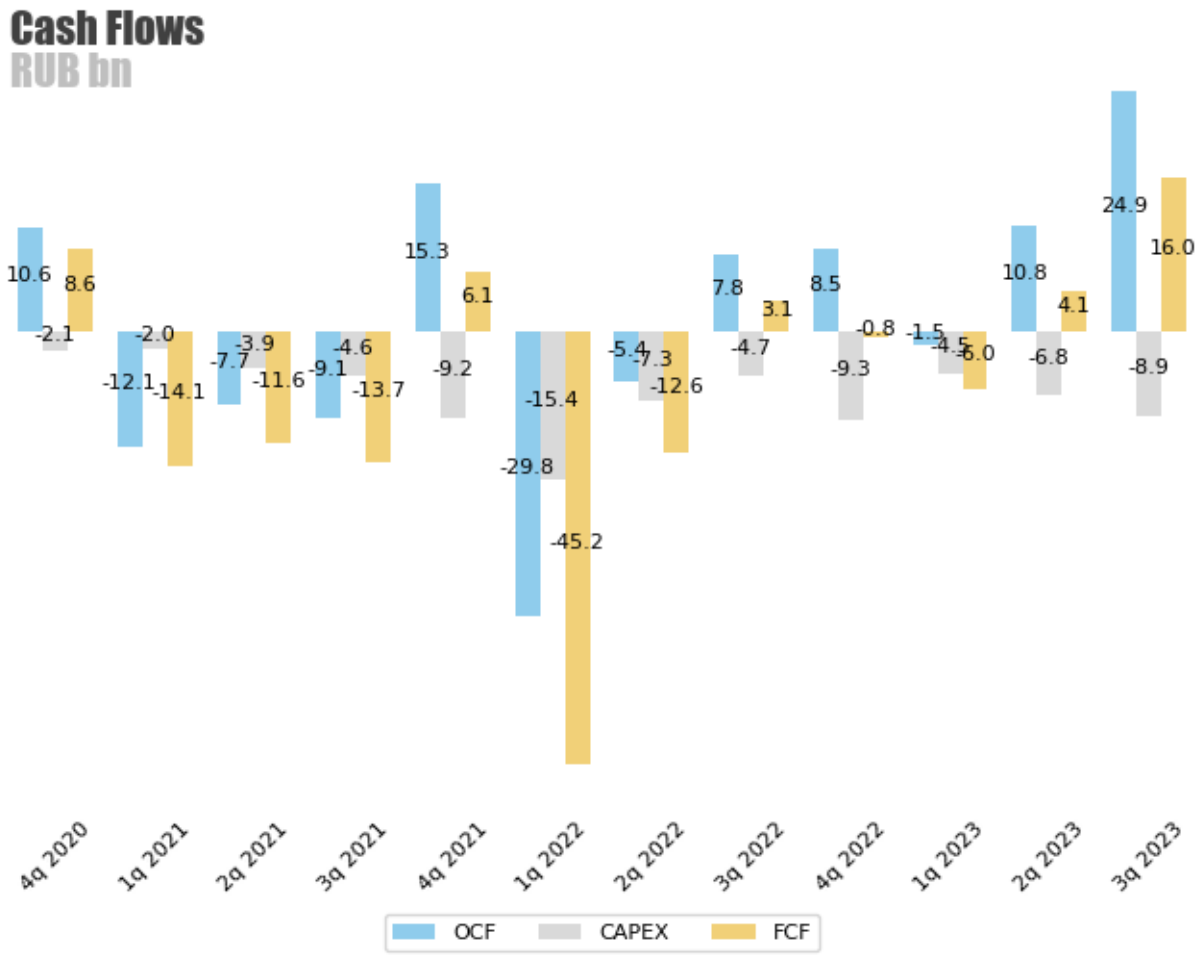
3.3 Insolvency Issues

Growing losses and high interest rates are making investors worry about the potential risk of insolvency. In 3Q23, net interest expenses jumped 64% quarter-on-quarter, pushing the net margin even lower. However, Ozon has RUB 93 billion on the balance, which covers more than half of the total debt. Thus, bankruptcy shouldn't be a problem as long as the company manages to work at the break-even point.





Though the company's margins dipped into the negative zone, there is a high chance that Ozon will manage to raise them again. In 3Q22, the company has already demonstrated that in case of emergency it can tighten the screws and ramp up cash inflows; therefore, the speculation about bankruptcy seems exaggerated.



4 Comparative analysis

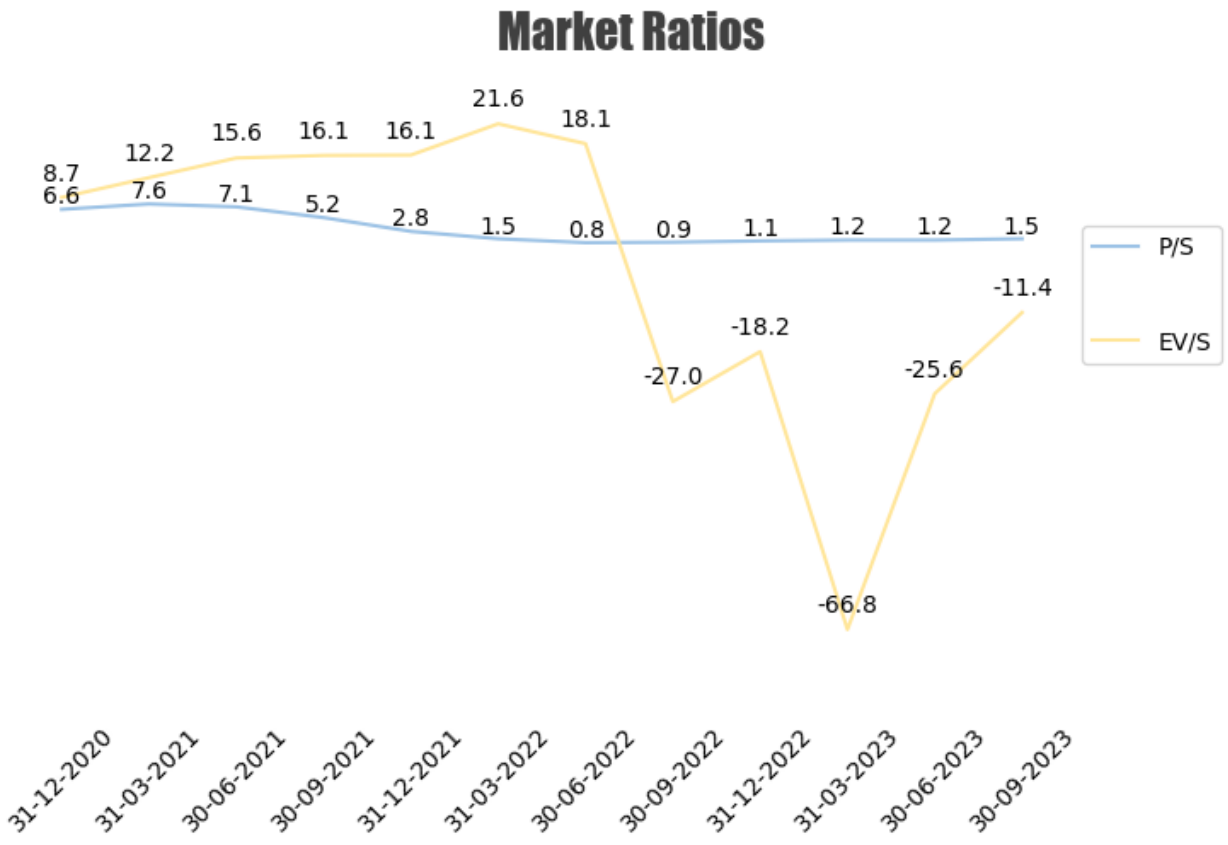
Compared with the other companies in the IT sector, Ozon seems to be the worst by almost all metrics. Its margins are the lowest, the net debt/EBITDA ratio is the highest, and the market ratios are also relatively high. Thus, buying it right now might be a bad idea.

In RUB billions	OZON	Average	HHRU	YNDX	POSI	VKCO
Market Cap.	576	376	188	829	146	143
EBITDA LTM	8	25	15	81	5.2	17
BV	-51	86	17	302	4.7	159
Net profit LTM	-36	4	11	35	4.2	7
Revenue LTM	390	247	26	715	14	92
Market Ratios						
P/EBITDA	71.5	14.3	12.5	10.2	28.1	8.6
P/E	-16.1	22.9	16.4	23.6	35.1	19.7
P/S	1.5	4.9	7.3	1.2	10.6	1.6
P/BV	-11.4	11	11.3	2.7	31.1	0.9
Financial Ratios						
EBITDA margin	2.1%	31.3%	57.9%	11.4%	37.7%	18.2%
Net margin	-9.2%	21.8%	44.2%	4.9%	30.2%	7.9%
Net Debt / EBITDA	10.52	0.9	-1.08	-1.27	0.55	5.78

5 Revenue forecast

From prospects analysis, Ozon will continue to generate losses for many more years because its strategy prioritizes increasing the company's market share over profits. Therefore, the only way to estimate the potential of Ozon stock is by predicting its revenue growth.

Assuming that revenue will grow to RUB 430 billion in 2023 and RUB 600 billion in 2024, the stock price might rise to RUB 4200, +56% of the current price. That's if a fair P/S ratio stays at 1.5 as it is now.



6 Conclusion

Ozon displays outstanding operating performance. Its sales and customer base are growing at an extremely high pace. However, from a financial point of view, the company is still struggling to work at operating profit, constantly balancing at the breakeven point.

Comparative analysis shows that OZON stock is probably the worst on the stock market right now, so it is difficult to recommend buying it. From the prospects analysis, the stock has the potential to rise to RUB 4200 per share if OZON's revenue grows to RUB 600 billion. However, it assumes that the fair P/S ratio will stay at the current 1.5 and that insolvency risks will not come true.

Overall, OZON stock remains one of the riskiest investments on the market, though it has potential.

Appendix 1 — Ozon's P&L Statement

Ozon Holdings PLC

Interim Condensed Consolidated Statements of Profit or Loss and Other Comprehensive Income (unaudited)

(in millions of Russian Rubles)

(RUB millions)	For the three months ended September 30,			For the nine months ended September 30,		
	2023	2022[3]	YoY, %	2023	2022	YoY, %
Revenue:						
Sales of goods	39,945	26,624	50%	116,994	94,148	24%
Service revenue	69,018	34,772	98%	179,383	89,341	101%
Total revenue	**108,963**	**61,396**	**77%**	**296,377**	**183,489**	**62%**
Cost of revenue	(103,209)	(52,015)	98%	(264,965)	(163,424)	62%
Gross profit	**5,754**	**9,381**	**(39%)**	**31,412**	**20,065**	**57%**
Operating expenses:						
Sales and marketing	(7,531)	(5,284)	43%	(20,308)	(19,164)	6%
Technology and content	(6,595)	(5,464)	21%	(18,990)	(16,685)	14%
General and administrative	(4,904)	(4,627)	6%	(13,811)	(13,885)	(1%)
Losses related to the fire incident	(280)	(10,785)	(97%)	(605)	(10,785)	(94%)
Total operating expenses	**(19,310)**	**(26,160)**	**(26%)**	**(53,714)**	**(60,519)**	**(11%)**
Operating loss	**(13,556)**	**(16,779)**	**(19%)**	**(22,302)**	**(40,454)**	**(45%)**
Finance income	1,304	992	31%	21,267	3,183	568%
Finance costs	(9,661)	(2,696)	258%	(20,649)	(16,676)	24%
Expected credit losses on financial assets	(9)	(81)	(89%)	117	(163)	-
Gain / (loss) on disposal of non-current assets	23	(297)	-	43	(902)	-
Share of profit of an associate	60	97	(38%)	320	293	9%
Foreign currency exchange gain / (loss), net	204	(1,888)	-	(2,106)	8,987	-
Impairment of intangible assets	-	-	-	-	(233)	-
Total non-operating expense	**(8,079)**	**(3,873)**	**109%**	**(1,008)**	**(5,511)**	**(82%)**
Loss before income tax	**(21,635)**	**(20,652)**	**5%**	**(23,310)**	**(45,965)**	**(49%)**
Income tax expense	(420)	(66)	536%	(1,176)	(1,010)	16%
Loss for the period	**(22,055)**	**(20,718)**	**6%**	**(24,486)**	**(46,975)**	**(48%)**
Other comprehensive income for the period						
Items that are or may be reclassified to profit or loss (net of tax):						
Exchange differences on translation of foreign operations	22	16	38%	164	(70)	-
Other comprehensive income, net of tax	**22**	**16**	**38%**	**164**	**(70)**	**-**
Total comprehensive income	**(22,033)**	**(20,702)**	**6%**	**(24,322)**	**(47,045)**	**(48%)**

Appendix 2 — Ozon's Balance Sheet

Ozon Holdings PLC

Interim Condensed Consolidated Statement of Financial Position
(in millions of Russian rubles)

(RUB millions)	As of	
	September 30, 2023 (unaudited)	December 31, 2022[4]
Assets		
Non-current assets		
Property, plant and equipment	68,049	55,754
Right-of-use assets	106,168	69,339
Intangible assets	464	661
Investments in an associate	1,406	1,269
Deferred tax assets	221	133
Loans to customers	1,063	-
Other financial assets	2,638	2,610
Other non-financial assets	586	152
Total non-current assets	**180,595**	**129,918**
Current assets		
Inventories	36,223	34,615
Accounts receivable	5,126	6,707
Other financial assets	5,165	3,488
Other non-financial assets	5,889	13,014
VAT receivable	4,313	1,025
Loans to customers	32,343	5,585
Cash and cash equivalents	92,733	90,469
Total current assets	**181,792**	**154,903**
Total assets	**362,387**	**284,821**
Equity and liabilities		
Equity		
Share capital	12	12
Share premium	135,540	135,523
Treasury shares	(1)	(1)
Equity-settled employee benefits reserves	15,962	18,200
Other capital reserves	94	(70)
Accumulated losses	(202,116)	(170,311)
Total equity	**(50,509)**	**(16,647)**

Ozon Holdings PLC

Interim Condensed Consolidated Statement of Financial Position (continued)
(in millions of Russian Rubles)

(RUB millions)	As of	
	September 30, 2023 (unaudited)	December 31, 2022[5]
Non-current liabilities		
Borrowings	58,225	38,900
Lease liabilities	97,923	64,151
Derivative liabilities	11,708	3,000
Deferred tax liabilities	72	21
Deferred income	186	230
Trade and other payables	243	292
Liability for the cash-settled share-based awards	1,710	-
Total non-current liabilities	**170,067**	**106,594**
Current liabilities		
Trade and other payables	122,040	94,749
Borrowings	6,946	55,215
Lease liabilities	14,350	10,344
Taxes payable	2,537	1,654
Accrued expenses	12,346	8,936
Contract liabilities and deferred income	35,578	17,838
Customer deposits and other financial liabilities	36,266	6,138
Liability for the cash-settled share-based awards	12,766	-
Total current liabilities	**242,829**	**194,874**
Total liabilities	**412,896**	**301,468**
Total equity and liabilities	**362,387**	**284,821**

Appendix 3 — OZON's Cash Flow Statement

Ozon Holdings PLC

Interim Condensed Consolidated Statement of Cash Flows (unaudited)

(in millions of Russian Rubles)

(RUB millions)	For the three months ended September 30,		For the nine months ended September 30,	
	2023	2022	2023	2022
Cash flows from operating activities				
Loss before income tax	(21,635)	(20,652)	(23,310)	(45,965)
Adjusted for:				
Depreciation and amortization of non-current assets	7,594	5,161	19,963	14,243
Finance costs	9,661	2,696	20,649	16,676
Finance income	(1,304)	(992)	(21,267)	(3,183)
Foreign currency exchange (gain) / loss, net	(204)	1,888	2,106	(8,987)
Write-downs and losses of inventories	1,265	1,385	2,717	3,792
(Gain)/loss on disposal of non-current assets	(24)	297	(58)	902
Share of profit of an associate	(60)	(97)	(320)	(293)
Changes in expected credit losses	245	85	457	183
Share-based compensation expense on the equity-settled share-based awards	1,772	2,443	5,855	8,278
Derecognition and impairment of non-financial assets	318	2,014	765	2,359
Movements in working capital:				
Changes in inventories	(3,401)	(5,183)	(4,306)	1,291
Changes in accounts receivable	(1,348)	(632)	279	2,678
Changes in loans to customers	(11,412)	(1,565)	(28,392)	(2,525)
Changes in other assets	(6,572)	(2,881)	(3,949)	(2,504)
Changes in accounts payable and other liabilities	30,822	23,616	45,701	(11,484)
Changes in customer deposits and other financial liabilities	22,857	2,310	30,128	3,415
Changes in liability for the cash-settled share-based awards	901	-	901	-
Cash generated from / (used in) operations	**29,475**	**9,893**	**47,919**	**(21,124)**
Interest paid	(4,103)	(1,930)	(10,188)	(6,007)
Income tax paid	(506)	(122)	(1,722)	(156)
Cash settlement of vested share-based awards	-	-	(1,820)	-
Net cash generated from / (used in) operating activities	**24,866**	**7,841**	**34,189**	**(27,287)**

Ozon Holdings PLC

Interim Condensed Consolidated Statement of Cash Flows (unaudited) (continued)

(in millions of Russian Rubles)

(RUB millions)	For the three months ended September 30,		For the nine months ended September 30,	
	2023	2022	2023	2022
Cash flows from investing activities				
Purchase of property, plant and equipment	(8,878)	(4,608)	(20,059)	(27,048)
Purchase of intangible assets	(82)	(99)	(178)	(345)
Proceeds from disposal of property, plant and equipment	103	-	293	-
Advances on lease contracts not yet commenced	(202)	-	(1,625)	-
Return of bank deposits	-	-	-	18,297
Interest received	1,333	444	2,501	2,020
Dividends received from an associate	70	70	235	205
Issuance of loans to employees	(187)	(214)	(686)	(437)
Receipts from the repayment of loans to employees	42	-	180	-
Net cash used in investing activities	**(7,801)**	**(4,407)**	**(19,339)**	**(7,308)**
Cash flows from financing activities				
Payments related to bond restructuring	(446)	-	(36,111)	-
Proceeds from borrowings	2,000	14,980	24,400	16,165
Repayment of borrowings	(249)	(10,220)	(744)	(10,607)
Payment of principal portion of lease liabilities	(2,343)	(2,270)	(6,891)	(6,822)
Net cash (used in) / generated from financing activities	**(1,038)**	**2,490**	**(19,346)**	**(1,264)**
Net increase / (decrease) in cash and cash equivalents	**16,027**	**5,924**	**(4,496)**	**(35,859)**
Cash and cash equivalents at the beginning of the period	**74,640**	**56,739**	**90,469**	**108,037**
Effects of exchange rate changes on the balance of cash held in foreign currencies	2,066	2,935	6,760	(6,580)
Cash and cash equivalents at the end of the period	**92,733**	**65,598**	**92,733**	**65,598**